

Professorship of Corporate Law

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Business Law

Warranty Rights II

Summer term 2026



Warranty Rights II

(1) Revision questions

(2) Warranty rights

1a) Revocation

1b) Reduction

1c) Damages in addition to performance

1d) Damages instead of performance/
reimbursement

What types of damage claims are there? Distinction?

§ 280 BGB

Damages for breach of duty

- (1) ¹If the debtor **breaches a duty** arising from the obligation, the creditor may demand damages for the damage caused thereby. ²This does not apply if the debtor is not responsible for the breach of duty.
- (2) **Damages for delay in performance** may be demanded by the creditor only subject to the additional requirement of § 286.
- (3) **Damages in lieu of performance** may be demanded by the creditor only subject to the additional requirements of §§ 281, 282 or 283.

Simple damages	Damages due to delayed performance	Damages instead of performance
§ 280 I BGB	§§ 280 I, II, 286 I BGB	§§ 280 I, III, 281 / 283 BGB or § 311a BGB

Damages in addition to performance

Revision questions lecture

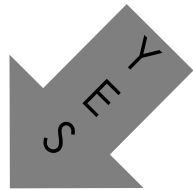
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0. Finding the right legal basis

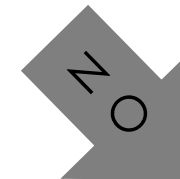
Preparation
in mind/in notes

1. Damages because of a defect or because of another reason?

“Is a defect possible according to the case facts?”



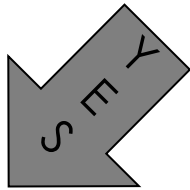
- § 437 No. 3 Alt. 1 BGB in conjunction with §§ 280 et seqq. BGB



- §§ 280 et seqq. BGB pure

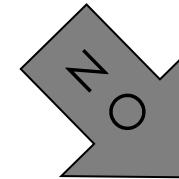
2. Damages in addition to or instead of the performance ?

“Would the claimed damage still be given, if the performance had been hypothetically rendered (correctly at the latest possible time)?“



Damages in addition to performance

- § 280 I BGB
- §§ 280 I, II, 286 BGB



Damages instead of performance

- §§ 280 I, III, 281 BGB
- §§ 280 I, III, 283 BGB
- (§ 311a II 1. Alt. BGB)

What are the elements of § 280 I BGB?

- I. Contractual obligation
- II. Breach of duty
- III. Responsibility of debtor
- IV. Causal damage
- V. Legal consequence

- Please submit your questions **by 28 June 2026** to
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Case 1a) – Case facts

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Conny (C) is an extremely talented and ambitious amateur baker. Therefore, she buys the kitchen machine “Helping Elf” in Tom’s (T) housewares store on October 1 at a price of 1,000€. Although the machine is of very high quality and currently the most popular model on the market, C and T agree on additional, integrated professional equipment (at no extra cost).

When C starts using her kitchen machine in the advent season, she is very dissatisfied with the baking results. Her Christmas cookies, which are extremely fine and challenging to make, are lumpy. C realizes that her kitchen machine lacks the professional equipment.

Case 1a) – Case facts

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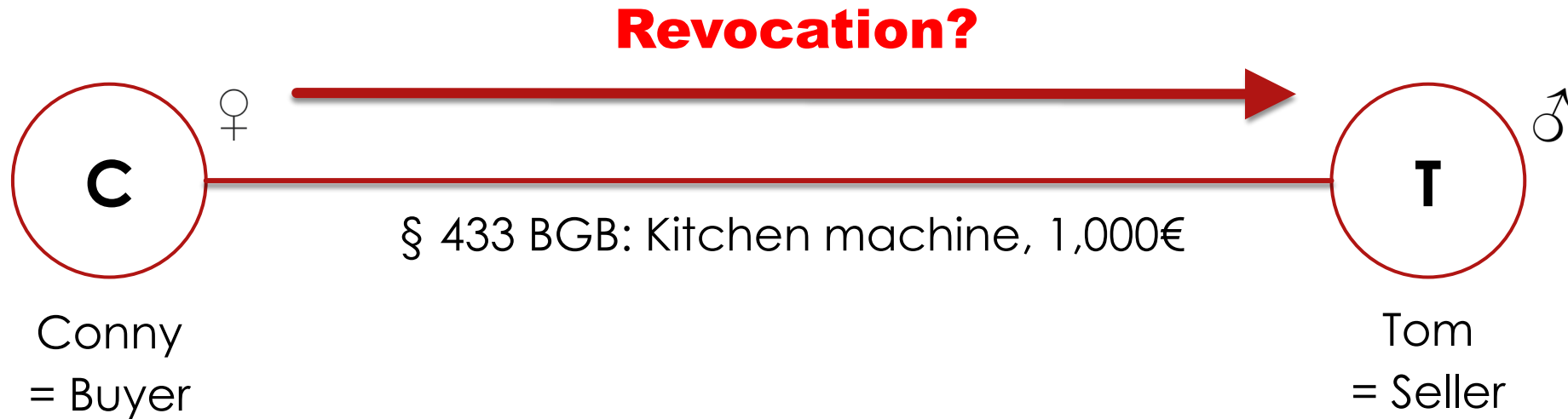
On December 1, C goes to the store and complains to T. She demands a new kitchen machine with professional equipment or at least an upgrade for her machine. Otherwise, Christmas will have to be cancelled for her.

T does not understand C's request. He argues: "In this case, retrofitting the kitchen machine is technically impossible. You have not incurred any additional costs for the professional equipment. Besides, for private purposes, the kitchen machine is more than sufficient. I can't do anything for you."

Question: Can C revoke the contract?

Case 1a) – Sketch

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Case 1a) – Solution

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o. Finding the right legal basis

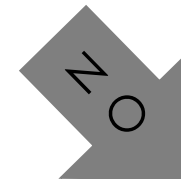
Preparation
in mind/in notes

Revocation because of a defect or because of another reason?

“Is a defect possible according to the case facts?”



- § 437 No. 2 Alt. 1 BGB in conjunction with §§ 323 et seqq. BGB



- §§ 323 et seqq. BGB pure

Case 1a) – Solution

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A. Revocation, §§ 437 No. 2 Alt. 1, 323, 346 BGB

C could revoke the contract concluded with T, acc. to §§ 437 No. 2 Alt. 1, 323, 346 BGB.

I. Reason for revocation

1. Reciprocal contract

= Purchase agreement, § 433 BGB (+)

- C and T agreed on the purchase of a kitchen machine, model “Helping Elf” with professional equipment at a price of 1.000€

I. Reason for revocation

1. Reciprocal contract

2. Obligation to perform
3. Breach of duty
4. Additional period

II. Declaration of revocation

III. No exclusion

Case 1a) – Solution

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2. Due and enforceable obligation to perform

= **Delivery of defect free good, § 433 I 2 BGB ()**

- T is obliged to deliver the kitchen machine without defects

3. Breach of duty of performance

= **Material defect upon the passing of the risk, § 434 BGB**

a) Material defect

→ **Non-conformity with subjective requirements,**

§ 434 II BGB ()

- T and C agreed on professional equipment which is missing

Qualification?

I. Reason for revocation

1. Reciprocal contract

2. Obligation to perform

3. Breach of duty

4. Additional period

II. Declaration of revocation

III. No exclusion

Case 1a) – Solution

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Agreed quality, § 434 II 1 No. 1 BGB	Supplied with agreed accessories and agreed instructions, § 434 II 1 No. 3 BGB
Professional equipment is integrated	Professional equipment is an add-on to the normal kitchen machine
It needs to be built-in from the beginning	
→ Professional equipment is part of the kitchen machine and no accessory	

I. Reason for revocation

1. Reciprocal contract
2. Obligation to perform

3. Breach of duty

4. Additional period

II. Declaration of revocation

III. No exclusion

Case 1a) – Solution

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b) Upon the passing of the risk, § 434 I BGB (+)

→ Passing of the risk, § 446 1 BGB

- Passing of the risk happened when T handed C the kitchen machine
- Professional equipment needs to be integrated from the beginning
- It was never built-in

c) Interim result:

Material defect upon the passing of the risk (+)

Breach of duty of performance (+)

I. Reason for revocation

1. Reciprocal contract

2. Obligation to perform

3. Breach of duty

4. Additional period

II. Declaration of revocation

III. No exclusion

Case 1a) – Solution

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4. Specification of additional period for performance / Dispensability

a) Specification of additional period § 323 BGB (-)

- C did not mention an additional period of time for the cure

b) Dispensability of specification of additional period (?)

§ 440 BGB

Special provisions on **revocation and damages**

¹Except in the cases set out in § 281 (2) and § 323 (2), it is also **not necessary to specify a period of time** if the seller has refused to carry out both kinds of cure under § 439 (4) or if the kind of cure that the buyer is entitled to receive has failed or cannot reasonably be expected of him. ²A repair is deemed to have failed after the second unsuccessful attempt, unless in particular the nature of the thing or of the defect or the other circumstances leads to a different conclusion.

I. Reason for revocation

1. Reciprocal contract
2. Obligation to perform
3. Breach of duty

4. Additional period

II. Declaration of revocation

III. No exclusion

Case 1a) – Solution

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b) Dispensability of specification of additional period (+)

- T claims that retrofitting the kitchen machine is technically impossible
- Therefore T refused both types of cure

c) Interim result:

Specification of additional period of time (-)

Dispensability (+)

Reason for revocation (+)

I. Reason for revocation

1. Reciprocal contract
2. Obligation to perform
3. Breach of duty

4. Additional period

II. Declaration of revocation

III. No exclusion

II. Declaration of revocation, § 349 BGB (-)

- C demanded cure from T, not revocation
- No time limit for revocation, so C can still declare it

III. No exclusion of warranty rights (+)

IV. No exclusion of revocation (+)

1. No triviality, § 323 V 2 BGB (+)

I. Reason for revocation

1. Reciprocal contract
2. Obligation to perform
3. Breach of duty
4. Additional period

II. Declaration of revocation

III. No exclusion

Case 1a) – Solution

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Pro triviality	Con triviality
Kitchen machine is good enough for private use	Special agreement between C and T on professional equipment
	For some recipes this professional equipment is necessary
	C is an extremely talented and ambitious amateur baker

2. No responsibility of buyer, § 323 VI BGB (+)

3. Interim result: No exclusion of revocation (+)

V. Result

C has the right to revoke the contract concluded with T, acc. to §§ 437 No. 2 Alt. 1, 323, 346 BGB. For an effective revocation C needs to make such a declaration.

Case 1b) – Case facts

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After the confrontation with T, C takes a few days to think about it. She realizes that in the future she would like to devote more time to hobbies other than housewifely activities. If she'll bake now and then, the kitchen machine will suffice even without professional equipment.

C therefore wants to keep the kitchen machine in its current condition, but demands a refund from T for the money she paid too much.

Question: Did C reduce the purchase price?

*	Purchase price	Value without defect (= with professional equipment)	Value with defect (= without professional equipment)
	Amount	1,000€	800€

Case 1b) – Solution

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A. Reduction, §§ 437 No. 2 Alt. 2, 441 BGB

C could have reduced the purchase price acc. to §§ 437 No. 2 Alt. 2, 441 BGB.

I. Right to revoke (+)

- Question 1a)

II. Declaration of reduction, § 441 I 1 BGB (+)

- C demands a refund from T for the money she paid too much

III. Calculation, § 441 III BGB

§ 441 III BGB Reduction of price

(3) ¹In the case of a price reduction, the purchase price is to be reduced in the proportion in which the value of the thing free of defects would, at the time when the contract was entered into, have had to the actual value. ²To the extent necessary, the price reduction is to be established by appraisal.

$$\text{reduced price} = \frac{\text{value with defect} * \text{agreed price}}{\text{value without defect}}$$

$$\Leftrightarrow 750\text{€} = \frac{600\text{€} * 1,000\text{€}}{800\text{€}}$$

IV. Effects, § 441 IV 1 BGB

§ 441 IV BGB Reduction of price

(4) ¹If the buyer has paid more than the reduced purchase price, the excess amount is to be reimbursed by the seller.² § 346 (1) and § 347 (1) apply with the necessary modifications.

- C paid 1,000€ for the defect kitchen machine
- Since the reduced price is 750€, she can ask for 250€ back

V. Result

C effectively reduced the purchase price acc. to §§ 437 No. 2 Alt. 2, 441 BGB to 750€. She can demand 250€ back from T (§ 441 IV 1 BGB).

Case 1c) – Case facts

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T realizes that re-delivering the kitchen machine is the better option for him after all, and C agrees. So T finally sent C a new kitchen machine with integrated professional equipment.

On the day before Christmas, the kitchen machine is in particularly heavy use. When C notices that she is missing some ingredients, she interrupts the baking, switches off the kitchen machine properly and goes to the supermarket. In C's absence, the kitchen machine catches fire. The reason for this is an improper production in the electronics, which caused a short circuit.

Case 1c) – Case facts

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The manufacturer had already detected this problem and started a recall campaign (what T knew). However, T was so frustrated by the back and forth with C that he mixed up the kitchen machines and sent her an affected one.

C's wooden kitchen cabinets with a value of 20.000€ are burned to ashes. C would like to have this value compensated by T.

Question: Can C demand damages from T for the kitchen cabinets?

Case 1c) – Solution

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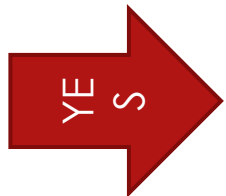
o. Finding the right legal basis

“Is a defect possible according to the case facts?”



- § 437 No. 3 Alt. 1 BGB in conjunction with §§ 280 et seqq. BGB

“Would the claimed damage still be given, if the performance had been hypothetically rendered (correctly at the latest possible time)?”



- Damages in addition to performance, § 280 I BGB
- (§§ 280 I, II, 286 BGB not considered, no delayed performance)

Interim result: §§ 437 Nr. 3, 280 I BGB

A. Claim for damages of C against T

C could have a claim for damages in addition to performance against T pursuant to §§ 437 No. 3 Alt. 1, 280 I BGB in the amount of 20.000€.

I. Contractual obligation

= Purchase agreement, § 433 BGB (+)

- Solution 1a)

- I. Contractual obligation**
- II. Breach of duty
- III. Responsibility of debtor
- IV. Causal damage
- V. Legal consequence

II. Breach of duty

= Material defect upon the passing of the risk, § 434 BGB (+)

- T had originally the duty to deliver a defect free good, § 433 I 2 BGB
- Also T had the duty to perform the cure properly (without a new defect)

1. Material defect, § 434 I BGB

I. Contractual obligation

II. Breach of duty

III. Responsibility of debtor

IV. Causal damage

V. Legal consequence

Case 1c) – Solution

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a) Non-conformity with subjective requirements, § 434 II BGB (-)

- Only special agreement between C and T was about the professional equipment
- The newly delivered kitchen machine has this additional feature

b) Non-conformity with objective requirements, § 434 III BGB (+)

→ Customary use, § 434 III 1 No. 1 BGB

- Kitchen machine has an electronic problem
- It is too dangerous to use

c) Interim result:

Material defect (+)

I. Contractual obligation

II. Breach of duty

III. Responsibility of debtor

IV. Causal damage

V. Legal consequence

Case 1c) – Solution

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2. Upon the passing of the risk, § 434 I BGB (+)

→ Passing of the risk, § 446 1 BGB

- Passing of the risk happened with the new delivery of the kitchen machine
- Electronics were malfunctioning from the production

3. Interim result

Material defect upon the passing of the risk (+)

Breach of duty (+)

- I. Contractual obligation
- II. Breach of duty**
- III. Responsibility of debtor
- IV. Causal damage
- V. Legal consequence

III. Responsibility of debtor, § 280 I 2 BGB (+)

1. Principle

= Presumption that person causing damage is responsible
(§ 280 I 2 BGB)

2. Intention, § 276 I 1 Hs. 1 BGB (-)

- T had no intention to deliver a defective kitchen machine again

- I. Contractual obligation
- II. Breach of duty
- III. Responsibility of debtor**
- IV. Causal damage
- V. Legal consequence

3. Negligence, § 276 I 1 Hs. 1 BGB (+)

= A person acts negligently if he fails to exercise reasonable care (§ 276 II BGB)

- T knew about the recall campaign of the manufacturer
- T was so stressed that he mixed up the kitchen machines

4. Interim result:

Responsibility (+)

- I. Contractual obligation
- II. Breach of duty
- III. Responsibility of debtor**
- IV. Causal damage
- V. Legal consequence

IV. Causal damage (+)

- Because of the electronic defect the kitchen machine caught fire
- That is why the wooden kitchen cabinets were destroyed

V. Legal consequence

- Restitution in kind § 249 I BGB or monetary compensation is possible § 249 II 1 BGB
- C wants the value of the kitchen cabinets (20.000€)

- I. Contractual obligation
- II. Breach of duty
- III. Responsibility of debtor
- IV. Causal damage**
- V. Legal consequence**

VI. Result

C has a claim for damages in addition to performance against T pursuant to §§ 437 No. 3 Alt. 1, 280 I BGB in the amount of 20.000€.

Case 1d) – Case facts

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Admittedly, C is not entirely unhappy with the situation. She had been planning to renovate her kitchen for a long time anyway. She only lacked the occasion and the money to do it.

But what really bothers C is the situation with the burned kitchen machine. After the delivery of the second kitchen machine, C had a special cover for it personalized with her initials (value 25€). Unfortunately, she no longer has any use for it. The cover is not suitable for the successor model of the kitchen machine that has just been released. And a sale also makes no sense because of the personalization.

Case 1d) – Case facts

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C gave T two weeks to get her a new kitchen machine. However, T has resigned in the matter with C and no longer responds. Therefore, C demands at least the 30€ she paid for the cover.

Question: Can C claim reimbursement of futile expenses for the personalized cover in the amount of 30€?

Case 1d) – Solution

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o. Finding the right legal basis

“Is a defect possible according to the case facts?”

Preparation
in mind/in notes

YES

§ 437 No. 3 Alt. 1 BGB in conjunction with §§ 280 et seqq. BGB

“Would the claimed damage still be given, if the performance had been hypothetically rendered (correctly at the latest possible time)?”

NO

Damages instead of performance

§ 284 BGB !

Case 1d) – Solution

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A. Claim C → T for reimbursement §§ 437 No. 3 Alt. 2, 284 BGB

C could have a claim against T for reimbursement of futile expenses for the personalized cover in the amount of 30€ acc. to §§ 437 No. 3 Alt. 2, 284 BGB.

§ 284 BGB

Reimbursement of futile expenses

In place of **damages in lieu of performance**, the creditor may **demand reimbursement** of the **expenses** which he has made and **in all fairness was entitled to make** in **reliance on receiving performance**, **unless** the purpose of the expenses would not have been achieved, even if the debtor had not breached his duty.

I. Claim for damages instead of performance, §§ 437 No. 3 281 I BGB

I. Claim for damages

1. Contractual obligation
2. Breach of duty
3. Responsibility of debtor
4. Causal damage

II. Futile expense

Case 1d) – Solution

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1. Contractual obligation

= Purchase agreement, § 433 BGB (+)

- Solution 1a)

2. Breach of duty (?)

a) Failure to render performance as owed, § 281 I 1 Alt. 1 BGB

= Material defect upon the passing of the risk, § 434 BGB (+)

- Solution 1c)

b) Expiration of a reasonable additional period, § 281 I 1 BGB (+)

- C gave T two weeks to get her a new kitchen machine
- T didn't respond

c) **Interim result:** Breach of duty (+)

I. Claim for damages

1. Contractual obligation

2. Breach of duty

3. Responsibility of debtor

4. Causal damage

II. Futile expense

Case 1d) – Solution

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3. Responsibility of debtor, § 280 I 2 BGB

a) Principle

= Presumption that person causing damage is responsible
(§ 280 I 2 BGB)

b) Intention or negligence § 276 I 1 Hs. 1 BGB (+)

- T negligently sent C the (second) defective kitchen machine
- T intentionally gave up in the matter with C and didn't send a third one

c) Interim result: Responsibility (+)

- I. Claim for damages
 - 1. Contractual obligation
 - 2. Breach of duty
 - 3. Responsibility of debtor**
 - 4. Causal damage
- II. Futile expense

4. Causal damage (+)

- Because of the fire, the (second) kitchen machine is destroyed
- Damage is the value of the kitchen machine

5. No exclusions (+)

6. Interim result

Claim for damages instead of performance (+)

- I. Claim for damages
 1. Contractual obligation
 2. Breach of duty
 3. Responsibility of debtor
 - 4. Causal damage**
- II. Futile expense

II. Futile expense, § 284 BGB

a) Expense (+)

= Voluntary sacrifice of property

- C voluntarily spent 30€ of her money for the cover of the kitchen machine

b) Expense made in reliance on receiving performance (+)

- C had the cover made specifically for this kitchen machine

- I. Claim for damages
 - 1.Contractual obligation
 - 2.Breach of duty
 - 3.Responsibility of debtor
 - 4.Causal damage

Case 1d) – Solution

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c) Expense was made in all fairness (+)

- C had the cover personalized after receiving the kitchen machine
- Cover (30€) for a kitchen machine (1.000€)

d) No exception, § 284 BGB (+)

e) Interim result

Futile expense (+)

III. Result

C has a claim against T for reimbursement of futile expenses for the personalized cover in the amount of 30€ acc. to §§ 437 No. 3 Alt. 2, 284 BGB.

I. Claim for damages

1. Contractual obligation

2. Breach of duty

3. Responsibility of debtor

4. Causal damage

II. Futile expense

Thank you
for your attention!

